

Customer Segmentation Business Recommendations

1. Executive Summary

This project segmented customers into three distinct groups using clustering techniques and developed tailored strategies for each segment. The goal is to improve customer retention, increase revenue, and optimise marketing efforts through data-driven decision-making.

The three identified segments are:

- Budget Conscious Customers
- Premium Customers
- Moderate / Young Customers

Each segment shows unique behavioural patterns, requiring customised business strategies.

2. Segment Overview

◆ Segment 0: Budget Conscious Customers



Characteristics:

- Low monthly charges
- Short tenure
- High churn probability
- Highly price-sensitive



Business Objective:

Reduce churn and increase retention



Strategies:

1. Pricing & Discounts

- Offer seasonal discounts and coupons
- Introduce entry-level, affordable plans
- Provide cashback offers

2. Retention Campaigns

- Send personalised retention emails
- Offer limited-time deals before churn
- Introduce referral rewards

3. Value Enhancement

- Bundle services at a lower cost
- Provide free trial upgrades



Expected Impact:

- Reduce churn by **10–20%**
 - Increase customer lifetime value (CLV)
 - Improve brand perception among price-sensitive users
-

◆ Segment 1: Premium Customers



Characteristics:

- High monthly spending
- Long tenure
- Low churn rate
- High engagement



Business Objective:

Maximise revenue and loyalty



Strategies:

1. Loyalty Programs

- Introduce VIP membership tiers
- Offer reward points and exclusive benefits

2. Personalisation

- AI-based product recommendations
- Dedicated customer support

3. Upselling & Cross-selling

- Premium add-ons
- Early access to new features/services



Expected Impact:

- Increase revenue per user by **15–25%**
 - Strengthen brand loyalty
 - Improve customer satisfaction
-

◆ Segment 2: Moderate / Young Customers



Characteristics:

- متوسط (moderate) spending
- Medium tenure
- Moderate churn risk
- Growth potential



Business Objective:

Convert to premium customers



Strategies:

1. Targeted Marketing

- Personalised email campaigns
- Social media engagement

2. Upgrade Incentives

- Offer discounted premium upgrades
- Introduce mid-tier subscription plans

3. Engagement Programs

- Gamification (rewards, points)
- App-based engagement strategies



Expected Impact:

- Increase conversion to the premium segment
 - Improve engagement rate
 - Boost long-term revenue
-

3. Comparative Strategy Table

Segment	Focus Area	Key Strategy	Expected Outcome
Budget	Retention	Discounts & Offers	Reduced churn
Premium	Revenue	Loyalty & Upselling	Higher revenue
Moderate	Growth	Upgrade Campaigns	Segment upgrade

4. Overall Business Impact

By implementing segment-specific strategies, the organisation can achieve:



Key Benefits:

- 🎯 **Targeted Marketing** → Better ROI
 - 💰 **Revenue Growth** → Through upselling
 - 🔄 **Reduced Churn** → Improved retention
 - 📈 **Customer Lifetime Value Increase**
-

5. Implementation Roadmap

Phase 1 (0–1 Month)

- Segment validation
- Campaign design

Phase 2 (1–3 Months)

- Launch targeted campaigns
- Monitor customer behaviour

Phase 3 (3–6 Months) Optimise strategies using data

- Scale successful campaigns
-

6. Conclusion

Customer segmentation enables businesses to move from a **one-size-fits-all approach** to a **personalised strategy**, improving both customer experience and profitability.

This project demonstrates how data-driven insights can directly translate into actionable business decisions.